

 CENGAGE

NINTH EDITION

MANAGEMENT THEORY AND PRACTICE

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The Pew Research Center released data about women and leadership in 2018. They noted wide gender gaps in views about women in leadership. Their survey found that Americans largely see men and women as equally capable when it comes to key qualities and behaviours that are essential for leadership; however, the majority said men and women in top positions in business (and politics) tend to have different leadership styles. Amongst those who say men and women approach leadership differently, most agree neither is better. The majority of those surveyed believe there are too few women in top leadership positions in business today, with about half saying ideally, there should be equal numbers of men and women.

Philip Bump of the *Washington Post* investigated the CEOs of Fortune 500 companies, finding that only 5 per cent were women. Jena McGregor, writing for the *Washington Post* a few days later, commented on 'leadership traits', 'leadership attributes' and 'leadership styles'. Noting the complexity of studies into leadership styles, she states, 'there is some academic evidence that women tend to be more democratic, participative leaders, compared with the tendency of men to adopt a more command-and-control style'. They tend to practise 'transformational leadership'.

Sources: PEW Research Center, 'Women and Leadership 2018', available from www.pewsocialtrends.org/2018/09/20/women-and-leadership-2018/, accessed 4th October 2018; Bump, P. (2018), '20 per cent of Congress is women. Only 5 per cent of CEOs are', the *Washington Post* (online), 20 September available from www.washingtonpost.com/politics/2018/09/20/percent-congress-is-women-only-percent-ceos-are/?utm_term=.c0f6dd08801d; McGregor, J. (2018), 'In Pew survey, women fare better on most leadership traits', the *Washington Post* (online), 24 September available from www.washingtonpost.com/business/2018/09/24/pew-survey-women-fare-better-most-leadership-traits/?hpid=hp-leadership-traits%3Ahomepage%2Fstory&utm_term=.910c84b26be1d

5.1 WHAT IS LEADERSHIP?

3. The Pew Research Center data and associated reviews about leadership raise a number of questions about what leadership should mean within organizations, both within the public and private sector. In the preceding chapters, we have explored theories of management and asked what the term management means. We drew on the work of Fayol and others to help us define what managing means (planning, organizing, motivating and controlling). We have also outlined ideas of power and authority (as separate concepts); noted an emphasis on efficiency (scientific management) and discussed types of authority through Weber's idea of bureaucracy (Chapter 3). This chapter builds upon these previous chapters, with further discussion about what it means to be a manager, continuing with the theme of what managers (and leaders) are required to do.
4. Historically, leadership has been defined in terms of traits, behaviours, influence, interaction patterns, role relationships and the occupation of organizational positions. Most definitions of leadership infer a process whereby one person influences another. In the case of organizational leadership, people are influenced to do what is beneficial for the organization. Gary Yukl, a leading American researcher with interest in leadership, power and influence and motivation, defines leadership as *the process of influencing others to understand and agree about what needs to be done and how to do it, and the process of facilitating individual and collective efforts to accomplish shared objectives*. Typically associated with the concept of influence is motivation, discussed in the previous chapter; leadership may be considered as the ability of an individual to influence, motivate and enable others to contribute towards the effectiveness and success of the organization.
5. However, not only leaders but additionally, those in a managerial role, must also motivate employees, but with more focus on efficiency than organizational goal attainment. Historically, scholars have argued

the leader and manager as different roles whilst others have deemed them synonymous. Leadership is essentially an influencing process; the process is ultimately aimed at goal achievement. The function of the leader is to ensure the organization does the right thing (effectiveness) whilst the manager ensures things are done right (efficiency); the leader is concerned with establishing direction, the vision and organizational goals and influencing followers to obtain commitment. Consequently, the leader must be a good communicator and able to influence others by motivating and inspiring. The manager ensures goals are attained through plans, budgets, resource allocation, organization and problem-solving. Many management scholars now share the view that leadership is one aspect of the management role. However, they note that being a good manager does not necessarily translate into being a good leader and vice versa; Yukl notes that a person can be a leader without being a manager and a person can be a manager without leading.

6. Leadership theories may focus on leader traits (personal characteristics of the leader), behaviour (what the leader actually does), the power influence approach (the amount and type of power and how it is exercised), the situation, or some combination thereof. Early leadership theories tended to be universal in nature, i.e. applied to all types of situation, whereas more recently contingency or situational theories of leadership have emerged, suggesting that certain aspects of leadership may apply to some situations but not others. The prominent theories are examined briefly in turn.

5.2 TRAIT THEORIES

7. For the first half of the 20th century, researchers believed they could identify personal attributes and qualities such as personality traits required by leaders (trait spotting); underlying this approach was the assumption that some people are natural leaders, endowed with certain traits not possessed by other people. This would make it possible to identify, select and promote such individuals into leadership positions. A trait is a distinguishing quality or characteristic (often considered to be genetically determined) of a person and may include aspects of their personality. Such characteristics can produce particular types of behaviour. The trait leadership theory (**traits approach**), believes that people are either born or are made with certain qualities that make them excel in leadership roles. The focus was on identifying different personality traits and characteristics linked to successful leadership across a variety of situations. This line of research emerged as one of the earliest types of investigations into the nature of leadership.
8. As we saw earlier in the discussion of classical management ideas, the debate was usually led by practising managers who were strong characters in their own right. Part of their success was undoubtedly due to personal qualities, and it is perhaps not surprising that the earliest studies undertaken into leadership focused their attention on the qualities required for effective leaders. The trait theory of leadership focused on analysing mental, physical and social characteristics in order to gain more understanding of what is the characteristic or the combination of characteristics common amongst leaders.
9. Whilst the authors of numerous studies (many conducted in the 1930s and 1940s) proposed a range of leadership traits and qualities, many of them are vague and of limited value in trying to identify leaders. It has proved an impossible task to identify the particular traits or characteristics separating leaders from non-leaders. Of those traits that do appear more frequently, intelligence, energy and resourcefulness are perhaps the most representative. Though researchers concluded that a person's predispositions can help predict behaviour, they shifted their attention from trait identification to the study of leadership behaviour patterns.

5.3 LEADERSHIP BEHAVIOUR AND STYLE THEORIES

10. In the second half of the 20th century, leadership and management styles (behaviour patterns) became a major focus for research. Management scholars began to investigate and focus on what managers with leadership roles actually did 'on-the-job'. Based on research, leadership behaviours tend to be grouped

to those focusing on work (task-oriented behaviour) and those considering the follower (subordinate in any cases). The two key orientations (task and relationship building) reflect a concern for people and a concern for production, both of which are important for effective leadership.

1. Specific task behaviours include planning work activities, clarifying roles and objectives, and monitoring operations and performance – how things get done. Some of these behaviours overlap with the activities of management discussed previously.

2. Consideration behaviours are based on relationship building (relations-oriented behaviour, focused on considering the follower), supporting, developing, recognizing and helping others.

3. A person-oriented behaviour may result in higher job satisfaction; build trust, respect, loyalty and organizational commitment whilst the task orientation may result in better coordination and the more efficient utilization of resources. Together, both are important for the overall performance of the organization. Consequently, both types of behaviour need to be embraced by an effective leader – a person manager or leader can emphasize one or both.

4. The interest in the human factor at work led logically to an interest in leadership as an aspect of behaviour at work, rather than of personal characteristics. Since the 1950s, in particular, several theories about leadership or management style have been proposed. A leadership style is a leader's method of providing direction, implementing plans and motivating people. Many different leadership styles have been identified. These have been expressed in terms of authoritarian versus democratic styles, or people orientation versus task orientation discussed already. In some cases, despite acknowledged inconsistencies in the theories themselves, style theories have led to quite useful devices for improving training for leadership. A selection of the best-known style theories is discussed below:

5. *Authoritarian-Democratic*. Authoritarian leadership, also known as autocratic leadership, is a management style in which an individual has total decision-making power and absolute control (typically through direct supervision) over subordinates. When making decisions on policies, procedures and group objectives, little or no input is solicited from team members or followers. Examples of this approach to management style include McGregor's Theory X manager: tough, autocratic and supporting tight controls with punishment; reward systems; the authoritarian.

6. The democratic leadership style is arguably at the opposite end of this continuum where the leader shares decision making with group members, promoting the interests of group members and practising social quality. The Theory Y manager typifies this: benevolent, participative and believing in self-controls – the democrat. See also *Likert's Four Management Systems*:

Exploitive-authoritative system – the epitome of the authoritarian style

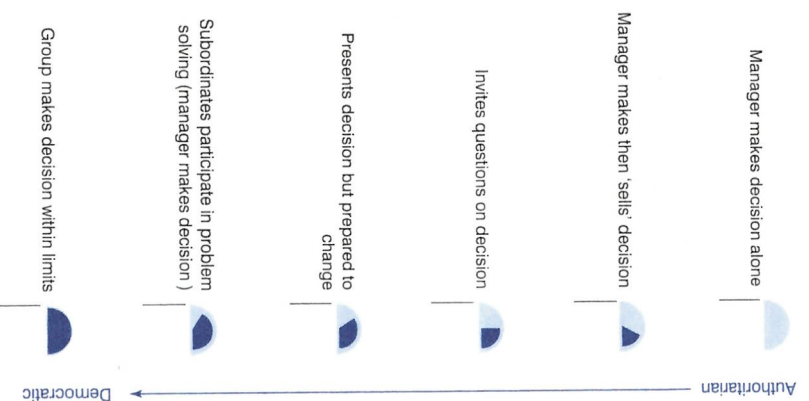
Benevolent-authoritative system – a paternalistic style

Consultative system – moves towards greater democracy and teamwork

Participative-group system – the ultimate democratic style.

7. In 1958, Robert Tannenbaum and Warren Schmidt published a model of leadership outlining the different ways that leaders interact with followers. The model is a continuum (see Figure 5.1): at one end of the spectrum, a leader can have nearly total freedom to decide, whilst at the other end, the team can have nearly total freedom to decide. In-between these two limits, Tannenbaum and Schmidt identified several types of leadership style.

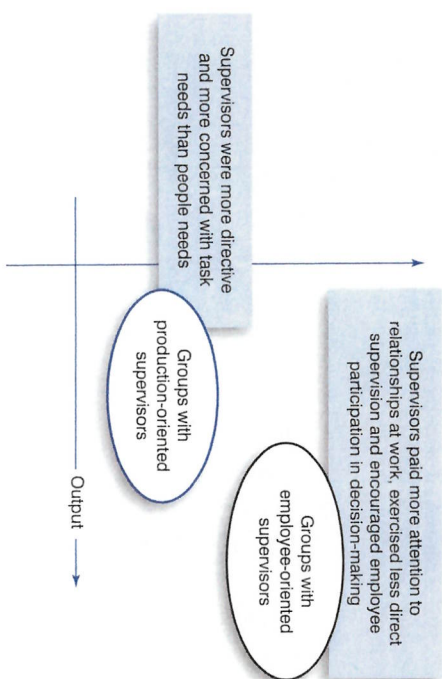
FIGURE 5.1 A continuum of leadership styles



Source: Adapted from 'How to Choose a Leadership Pattern' in *Harvard Business Review* (March/April 1958) by R. Tannenbaum and W. Schmidt (1957)

18. *Task-People Orientations* i.e. task-oriented and relationship-oriented leadership. Rensis Likert conducted the Michigan Leadership Studies at the University of Michigan in the 1950s. He and his fellow researchers investigated the leadership styles that led to greater productivity and enhanced job satisfaction amongst workers. Two broad leadership styles were identified: an employee orientation and a production orientation. They also commented on task-oriented and relationship-oriented behaviour, in particular. The studies concluded that an employee orientation rather than a production orientation, together with general instead of close supervision, led to better results. The employee-oriented supervisors paid more attention to relationships at work, exercised less direct supervision and encouraged employee participation in decision-making. Production-oriented supervisors were more directive and more concerned with task needs than people needs. The two different orientations appeared to represent different ends of the same continuum, as shown in Figure 5.2.

FIGURE 5.2 The Michigan continuum



Source: Adapted from Likert, R.K. (1961) *New Patterns of Management*, McGraw-Hill

5.4 SITUATIONAL/CONTINGENCY APPROACHES

9. By the 1960s, many management scholars and researchers were of the view that Weber's bureaucracy and Taylor's scientific management (along with various classical management views) had failed because there could be no universal or 'one best way' to manage or lead an organization. That is to say, there could be no general laws of management. We revisit this idea in Chapter 8. This argument paved the way for a number of contingency approaches to management and leadership. A contingency theory claims there is no best way to organize, manage or lead a company. Instead, action is contingent (dependent) upon the situation (context/ environment). A contingent leader applies their style of leadership to the situation.

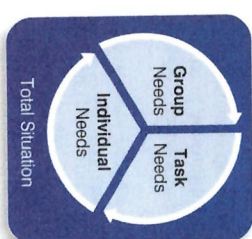
10. *Contingency Leadership*. The first theorist to use the explicit label 'contingency' was Fiedler (1967). Fiedler named his leadership model the Leadership Contingency Model. In his view, group performance contingent upon the leader adopting an appropriate style in the light of the relative favourability of the situation. According to Fiedler, the three most important variables in determining the relative favourability of the situation are leader-member relations, the degree of structure in the task, and the power and authority of the position. These three situational variables can produce eight possible combinations of situation, of which the most favourable to the leader is when (1) there are good leader-member relations, (2) the task is highly structured and (3) the leader has a powerful position. By comparison, the least favourable conditions are when (1) the leader is disliked (2) the task is relatively unstructured and (3) the leader has little positional power.

11. Throughout the 1960s and 1970s, various situational leadership models and other contingency models were postulated. One notable contribution came from Paul Hersey and Ken Blanchard, who proposed a situational leadership model. They also considered leadership style in terms of whether the leader directed (autocratic) or involved subordinates/followers in decisions. Additionally, they focused on the follower, i.e. person or group being led. They specified the appropriate type of leadership behaviour for different levels of subordinate 'maturity'. In their model, a low-maturity subordinate lacks the specific skills required to do the job (novices but enthusiastic) through to the high-maturity subordinate who is able and willing not only to do the task but also take responsibility for it. According to their theory, the level of subordinate maturity determines the appropriate mix of task and relationship-orientation/behaviour for the leader. For example, in the case of a low-maturity person being led ('M1' in their model), the leader would

emphasize task-oriented behaviour, directing and closely monitoring progress. As the type of person or group increases in 'maturity', the leader should adopt a more relationship-oriented behaviour. Thus, in this approach, the appropriate mix of task and relationship behaviour for the leader depends upon the skill, confidence and motivation of the person or people being led.

22. *Functional, or Action-Centred, Leadership*. Also in the 1960s and 1970s, a functional leadership theory was advanced. Whereas many leadership theories focus on who is leading, certain theories of functional leadership concentrate more on *how* leadership occurs. Functional theories of leadership were developed by studying successful leaders and identifying the actions and behaviours they demonstrated. One of the best known and most influential of functional theories of leadership is John Adair's 'Action-Centred Leadership'. He believes that leadership can be taught, that it does not depend on a person's traits and that it is a transferable skill. Adair's model of leadership (Figure 5.3) incorporates the concern for task and concern for people featured in all theories mentioned previously. His model has three connecting circles that overlap because the task can only be performed by the team; the team can only achieve the task through fully developed individuals, and individuals will be motivated and challenged by the task.

FIGURE 5.3 Functional model of leadership



Source: Adair, J. (1973) *Action-Centred Leadership*, © John Adair. Reproduced with permission

23. In order to be effective, the leader must achieve the task, build and maintain the team and develop individuals; achieving the task builds the team and satisfies individuals. If the team needs are not met, performance of the task may be impaired and individual satisfaction is reduced. Furthermore, if individual needs are not met, the team may lack cohesiveness and task performance is impaired. The functional model, however, distinguishes the concern for individuals from the concern for groups, and stresses that effective leadership lies in what the leader does to meet the needs of task, group and individuals. Adair's model takes the view that task, team and individual needs must be considered constantly. In order to fulfil successfully the three aspects of leadership (task, team and individual), Adair believes there are a number of functions that must be performed and developed by the leader. The leader must define the task (setting clear goals and objectives), plan, brief, organize and motivate the team, and assure performance (by evaluating results and controlling what happens. Functions may also be categorized according to task, group and individual:

- Task functions, directed towards task needs, include activities such as the setting of objectives, the planning of tasks, the allocation of responsibilities and the setting of appropriate standards of performance.
- Group maintenance functions, directed towards group needs, include activities such as team-building and motivation, communication, discipline and acting as group representative to others outside the boundaries of the unit.
- Individual maintenance functions, directed towards the needs of individuals, include activities such as coaching, counselling, motivation and development.

1. From our discussion about leadership theory thus far, we see that early researchers believed leaders are born with the necessary attributes to lead. As attention turned towards leadership behaviours and particularly functional theories of leadership, the idea gained standing that if one person can do something, then others can learn to do it. This shift and belief that leaders are made and not born with the necessary traits for leadership paved the way for leadership development.

5. PRINCIPLE-CENTRED LEADERSHIP

5. According to Covey (1992), leadership derives its power from values and correct principles. Covey's **principle-centred leadership** is based on the idea that effectiveness in management depends upon how a person adheres to certain principles of behaviour such as fairness, justice, integrity and trust. We must people for their honesty and reliability, for their character or integrity, and for their ability to carry it out effectively – their competence. Trust, in the sense of putting one's trust in others, is essential for effective team-working and other personal relationships at work. A lack of trust is a major cause of failure in businesses and the public sector alike. Empowerment is the enabling of teams and individuals to assume responsibility for achieving the results they have agreed. It enables people to respond to the trust vested in them by their senior managers, who need to become sources of help, not measurers of performance. Where empowerment is practised, organizational structures and systems can be realigned, so there is little hierarchy, a wide span of control and flexible systems. Alignment is the process of constantly reviewing the situation in the light of external conditions and the implementation of the other three principles. In this way, Covey is effectively introducing a moral element into the practice of management and leadership.

6. CHARISMATIC LEADERSHIP

5. Scholars of the classical management school first considered charisma. Charismatic authority (a concept developed by Max Weber) involves a type of leadership in which authority derives from the charisma of the leader, in contrast with legal or traditional authority. **Charismatic leadership** is about personal persuasion and relies on the charm and conviction of the leader. In the latter part of the 20th century, Robert House published a 1976 theory of charismatic leadership. Charismatic leaders, by force of their personal abilities, are capable of having profound and extraordinary effects on followers. These effects include commanding loyalty and devotion to the leader and inspiring followers to accept and execute the will of the leader without hesitation or question or regard to one's self-interest. Effects of charismatic leadership are more motivational than calculative. Leaders who have charismatic effects behave in a manner in which they want their followers to behave. That is, the leader acts as a role model for followers. They articulate 'transcendentals' – ideological rather than pragmatic – and motivate followers to accomplish the organization's mission. 7. In the preceding paragraphs we have identified a number of leadership styles – the methods used by leaders to provide direction, motivate people and implement plans. In particular, we have identified authoritarian and democratic, task and people-oriented leaders. The charismatic leader gains influence mainly from strength of personality; the traditional leader adopts a leadership position assumed by birth; and for the appointed leader, influence arises directly out of position e.g. most managers and supervisors. This is the bureaucratic type of leadership, where legitimate power arises from the nature and scope of the position within the hierarchy. Finally, Stephen Covey outlines how to become a principle-centred leader, and how to use principle-centred leadership philosophies to manage people more effectively. Under this approach, leadership is influenced by moral and ethical principles, involving considerations of equity, justice, integrity, honesty, fairness and trust. People follow the leader because of who they are, how they behave and what they stand for.

7. THE TRANSFORMATIONAL MODEL OF LEADERSHIP

8. In the latter part of the 20th century, a new paradigm of leadership captured widespread attention. At a similar time and in a similar vein to Robert House, James MacGregor Burns distinguished between transactional and transformational leaders. Transactional leaders focus on increasing the efficiency of

established routines and procedures. Leaders who follow the transformation style of leading, challenge and inspire their followers with a sense of purpose. Burns also suggested the two leadership styles typically adopted: different motivational tools and techniques, with the transactional leader utilizing extrinsic and the transformational leader intrinsic rewards. Transactional leadership is generally considered to be responsive whilst transformational leadership is proactive.

29. Transformational leadership has rapidly become the approach of choice for much of the research and application of leadership theory, argue Bass and Riggio (2006). This may be because transformational leadership provides a better fit for leading today's complex work groups and organizations, where followers not only seek an inspirational leader to help guide them through an uncertain environment but where followers also want to be challenged and to feel empowered if they are to be loyal, high performers. 30. Based on the earlier work of James MacGregor Burns and subsequent developments by Bernard Bass and Ronald Riggio, we can summarize and contrast the two approaches:

- **Transactional leaders** are those who lead through social exchange – such leaders offer financial rewards for productivity or deny/rewards for lack of productivity (extrinsic motivators). Leadership is limited to rewards for punishment, with carrots for compliance and a stick for failure to comply with agreed-on work to be undertaken by the follower.
- **Transformational leaders** stimulate and inspire followers to achieve extraordinary outcomes, help followers grow and develop into leaders by responding to individual followers' needs, by empowering them and by aligning the objectives and goals of the individual followers, the leader, the group, and the larger organization.

31. According to Bass and Riggio (2006), transformational leaders behave in ways that:

- Allow them to serve as role models for their followers who admire, respect and trust, wanting to emulate them. They can be relied upon to do the right thing, behaving with high standards of ethical and moral conduct (idealized influence).
- Motivate and inspire followers by providing meaning and challenge whilst involving in envisioning attractive future states, they communicate clear expectations that followers want to meet and also demonstrate commitment to goals and the shared vision (inspirational Motivation).
- Idealized influence and inspirational motivation together become charismatic–inspirational leadership, a factor with similar behaviours to those typically described in charismatic leadership theory. There are two further components of transformational leadership in which transformational leaders:
 - stimulate follower innovation and creativity i.e. new ideas and creative problem solutions are solicited; followers are included in the process of addressing problems and finding solutions (Intellectual Stimulation), and
 - pay special attention to each individual follower's needs for achievement and growth (Individualized Consideration).

Collectively the aforementioned components are known as the four 'I's'.

32. Both transactional and transformational leaders seek to motivate their followers but do this in different ways as has been discussed already. In the case of transformational leadership, the leader will often encourage the follower to transcend self-interest. That is to say, they need to go beyond the self-actualization at the top of Maslow's hierarchy. Charles Handy pointed out that Maslow's hierarchy of needs must be further elevated to go beyond one's self-oriented concerns; 'there [should] be a stage beyond self-realization, a stage [of] ... idealization, the pursuit of an ideal or a cause that is more than oneself.' 33. Every leader displays a frequency of both the transactional and transformational factors, but each leader's profile involves more of one and less of the other. Those leaders who are more satisfying to their followers and who are more effective as leaders are more transformational, and less transactional. The transactional and transformational rubric can be applied to teams and organizations as a whole. Whereas transformational leaders uplift the morale, motivation and morals of their followers, transactional leaders cater to their followers' immediate self-interests. The transformational leader emphasizes what can be done for your country; the transactional leader emphasizes what your country can do for you. Better

leaders are transformational more frequently; less adequate leaders are passive or concentrate more on reactive actions (Bass and Riggio 2006). Transformational leadership is in some ways an expansion of transactional leadership. Transformational leadership, however, raises leadership to the next level. According to Bass and Riggio (2006), transformational leadership can be either directive or participative. It is not an either/or proposition. Transformational leadership has much in common with charismatic leadership, but charisma is only part of transformational leadership. Interestingly, several studies have shown that women tend to be somewhat more transformational than their male counterparts (Bass 1999). The best leaders are both transformational and transactional (Bass 1999).

8 DISTRIBUTED AND INFORMAL LEADERSHIP

Much of the 20th century leadership theory discussed so far has focused on the notion of a single leader in a formal role (leadership research focused on specific traits, functions, or effects of individual leaders). Similarly, much of traditional leadership theory assumes followers will only act when they see strong and active leadership. However, a number of more recent studies suggest this is not always necessarily the case. More recently, Peter Gronn (2002) proposed a new unit of analysis in the study of leadership. As an alternative to a focus on the deeds of individual leaders, he proposed distributed leadership (also termed 'shared', 'collaborative' or 'complexity' leadership) – a shift to understanding leadership as a shared effort more than one person. Rather than focus on characteristics of the individual leader or features of the nation, distributed leadership examines how people engage in tasks that are 'stretched' or distributed across the organization. This is related to the concept of informal leadership: the ability of a person to influence the behaviour of others by means other than formal authority. Informal leadership is any type of leadership that is not based upon formal authority. In the case of distributed leadership, leadership actions can be spread across multiple individuals and teams, including those not in a formal leadership role. With this type of leadership, change can be driven from the bottom up of an organization. However, it is generally recognized that informal or distributed leadership does not replace but may complement leadership that is more formal. Informal or distributed leadership tends to be more prominent in flatter organizations that have empowered individuals. Some scholars and practitioners have described this as a new form of leadership that spreads decision-making power and influence; the essence of distributed leadership is that leadership functions can be shared and the leadership role can move from one person up to another as circumstances change.

9 POWER AND INFLUENCE

Having reviewed the prominent leadership theories and styles, we complete the chapter with brief discussion about how leaders influence others. Gary Yukl believes that *influence* is the essence of leadership; leadership is about influencing the behaviour of others (followers). Power describes the ability to influence others, to ensure they act according to requirements. In some cases, the leader may influence subordinate or follower attitudes and in other cases their behaviour. Whereas power is the capacity to influence, authority may be regarded as the right to influence. The success of a manager depends greatly on the way in which power and influence are exercised.

Scholars have identified several types of power: reward, coercive, referent (charisma), legitimate (position power), expert, informational, affiliation and group. However, the exercise of power may be received by followers in either negative or positive terms. Rewards and praise are normally welcomed and punishment, penalties and sanctions are not. It is important to note that power is not a property of the leader but is a property of the relationship between the leader and follower; if followers do not perceive the leader has a particular power base (such as knowledge or access to rewards), they may not be compliant. Furthermore, the differing power bases are interrelated and may support each other.

To be effective as the leader, it is necessary to influence people to carry out requests, support proposals and implement decisions. Whilst a variety of influence outcomes may be described, we focus here on three: commitment (attitudes are influenced and agreement reached), compliance (a behavioural response, willing to make a minimal effort) and resistance (the subordinate is opposed to the proposal or request).

The type of behaviour used intentionally to influence the attitudes and behaviour of another person is usually called an influence tactic. Influence tactics include:

- RATIONAL PERSUASION** – the use of explanations, logical arguments and factual evidence to show that a request or proposal is feasible and relevant for attaining task objectives.
- PRESSURE** – the leader reminds the subordinate persistently to carry out a request.
- LEGITIMATING** – the leader establishes authority by referring to rules, policies or a contract.
- APPRISING** – the leader explains how the subordinate will benefit personally as a result of carrying out the request or supporting a proposal.
- CONSULTATION** – encouraging involvement at an early stage.
- INGRATiation** – the leader uses praise and flattery or may express confidence in the subordinate's ability to undertake a particular task.
- PERSONAL APPEAL** – the leader asks the subordinate for a personal favour.
- EXCHANGE** – the leader offers something specific in return for subordinate help.
- COALITION** – the leader gets others to persuade the subordinate to do something.

CONCLUSION

38. Leadership appears a critical determinant of organizational effectiveness. Organizational leadership is the ability of an individual to influence, motivate and enable others to contribute toward the effectiveness and success of the organizations of which they are members. To be a successful leader, managers are likely to need a variety of cognitive (memory of detail and analytical ability), interpersonal (persuasive/good communicators) and technical skills. The function of the leader is to ensure the organization does the right thing (effectiveness) whilst that of the manager is to ensure things are done right (efficiency); the leader is concerned with establishing direction, the vision and organizational goals and influencing followers to obtain commitment. Consequently, the leader must be a good communicator and able to influence others through motivating and inspiring. Leaders utilize different styles, behaviours, power sources and influence tactics to shape the thoughts and actions of followers.

QUESTIONS

- 1 Contrast the roles of leader and manager.
- 2 Evaluate the main theories (and styles) of leadership.
- 3 Evaluate the role of power and influence in leadership theory.

USEFUL WEBSITES

The Institute of Leadership & Management: www.i-l-m.com/
 Various resources for leadership
 Leadership-Central.com www.leadership-central.com/leadership-theories.html access articles and other resources for leadership

About.com Guide: psychology.about.com/od/leadership/p/leadership-theories.html leadership theories – eight major leadership theories